

Trading Knowledge Gap Quiz

Chart Analysis & Core Concepts · Self-Assessment

For traders with ~2 months of study

2026

How to use this quiz

Purpose. Find what you understand vs. what you only recognize by name. Gaps matter more than a high score.

Rules.

1. No charts open, no Google, no notes on the first pass.
2. Write answers on paper or mark choices clearly.
3. If you are unsure, mark ? — that is useful data.
4. Score with the answer key at the end. Note which **sections** you miss, not only total percent.

Suggested scoring per section

Result	Meaning
80%+	Solid working knowledge
50–79%	Partial — review that topic soon
Under 50%	Priority gap — study before sizing up risk

Time. About 35–50 minutes.

Part A — Market basics

A1. In a spot market, what does “going long” mean?

- a) Betting price will fall
- b) Buying an asset expecting price to rise
- c) Borrowing an asset to sell it
- d) Holding cash only

A2. Bid vs. ask: which is true?

- a) Bid is what sellers want; ask is what buyers offer
- b) Bid is the highest price buyers will pay; ask is the lowest price sellers will accept
- c) Bid and ask are always the same
- d) Ask is always below the bid

A3. What is the spread?

- a) Distance from open to close of a candle
- b) Difference between bid and ask
- c) Average daily range

- d) Distance between two moving averages

A4. Liquidity, in practical chart/trading terms, usually means:

- a) How “wet” the market feels
- b) How easily you can enter/exit size without moving price much
- c) How many indicators are on the chart
- d) Whether the asset pays a dividend

A5. Volatility and opportunity — which statement is most accurate?

- a) Higher volatility always means easier profits
- b) Higher volatility means larger typical price swings (and often larger risk)
- c) Low volatility means trends never happen
- d) Volatility only matters for options

A6. True or false: In a liquid market, a market order usually fills near the current displayed price (slippage aside).

A7. True or false: “The market” is a single intelligent entity that “wants” to stop you out.

Part B — Candlesticks & price action

B1. A candle’s **body** represents:

- a) High to low
- b) Open to close
- c) Volume
- d) Only the close

B2. On a standard green/white (bullish) candle:

- a) Close is below open
- b) Close is above open
- c) High equals open
- d) There is no wick

B3. Wicks (shadows) primarily show:

- a) Where most volume traded
- b) Extremes of price rejection or exploration within the period
- c) Guaranteed continuation

- d) The VWAP

B4. A **doji** typically signals:

- a) Guaranteed reversal
- b) Indecision / equilibrium between buyers and sellers for that period
- c) A breakout must follow
- d) High volume always

B5. A long lower wick after a decline often suggests (context-dependent):

- a) Sellers were rejected near the lows / buying interest appeared
- b) Buyers were rejected near the highs
- c) The trend is over for good
- d) Volume was zero

B6. Why is **context** (trend, level, timeframe) more important than the candle name alone?

Write 2–4 sentences.

B7. True or false: A hammer pattern on a 1-minute chart carries the same significance as a hammer on the daily chart.

B8. Engulfing candle — what must be true for a classic bullish engulfing?

- a) Current body fully covers prior body, close above prior open, after a decline (classic form)
- b) Any green candle after a red one
- c) Only the wicks matter
- d) Volume must be zero

Part C — Trends, structure & levels

C1. A simple uptrend is often described as:

- a) Lower highs and lower lows
- b) Higher highs and higher lows
- c) Sideways closes only
- d) Rising volume only

C2. Support is best thought of as:

- a) A magic price that can never break
- b) A zone where buying interest has historically appeared / demand may reappear

- c) Always a single exact tick
- d) Only Fibonacci levels

C3. Resistance becomes support when:

- a) Price never touches it again
- b) Price breaks above a prior resistance area and later revisits it from above with buyers defending (a common structural idea — not a law)
- c) An indicator says so
- d) The candle is green

C4. What is a **range** (consolidation)?

- a) Price making consistent new highs
- b) Price oscillating between roughly defined high and low boundaries
- c) Only happens on Mondays
- d) A type of order

C5. Breakout vs. fakeout — define both in one sentence each.

C6. Which is a healthier mental model?

- a) Levels are exact lines that must reverse price
- b) Levels are areas of interest; price can pierce, wick through, or fail
- c) Levels only work on crypto
- d) Levels replace risk management

C7. True or false: A broken support level often flips into a potential resistance area on a retest.

C8. Higher timeframe vs. lower timeframe — which usually carries more structural weight?

- a) Lower timeframe always
- b) Higher timeframe structure usually dominates lower timeframe noise
- c) They are always equal
- d) Timeframes don't matter

Part D — Chart patterns (classical)

For each pattern, give: **(i)** rough shape, **(ii)** typical bias traders associate with it, **(iii)** one invalidation idea.

D1. Double top

D2. Double bottom

D3. Head and shoulders (classic topping)

D4. Ascending triangle

D5. Descending triangle

D6. Bull flag / bear flag

D7. True or false: Pattern names guarantee outcomes; if you see a “textbook” shape, the move is assured.

D8. Why do many “patterns” fail in practice? Give at least two reasons.

Part E — Indicators & oscillators

E1. A simple moving average (SMA) is:

- a) The most recent close only
- b) An average of closes over N periods
- c) Always better than price
- d) Volume-weighted by definition

E2. Price above a rising long-term MA often suggests (loosely):

- a) Guaranteed buy
- b) Bullish bias / uptrend context for many traders
- c) Imminent crash
- d) Zero volatility

E3. RSI (Relative Strength Index) primarily measures:

- a) Absolute price level
- b) Momentum / speed of recent gains vs losses (bounded oscillator)
- c) Order book depth
- d) Funding rates

E4. Classic RSI “overbought” (>70) means:

- a) Price must reverse down immediately
- b) Recent gains have been relatively strong; in trends, price can stay “overbought”
- c) You must short
- d) Volume is high

E5. MACD is generally used for:

- a) Exact support prices
- b) Momentum / trend-following signals via EMA relationships and histogram
- c) Replacing the price chart
- d) Measuring spread only

E6. Bollinger Bands widen when:

- a) Volatility expands
- b) Volatility contracts
- c) Volume hits zero
- d) RSI is 50

E7. Indicator divergence (e.g., price higher high, RSI lower high) suggests:

- a) Certain reversal
- b) Momentum may be weakening relative to price — a warning, not a certainty
- c) You should ignore price
- d) The exchange is broken

E8. Name two risks of stacking many indicators on one chart.

E9. True or false: Indicators are derived from price (and sometimes volume); they do not contain secret future information.

Part F — Volume

F1. Rising price on rising volume often suggests:

- a) Weak move / likely fake
- b) Stronger participation behind the move (still not a guarantee)
- c) Manipulation only
- d) Nothing useful

F2. A breakout on unusually low volume is often treated as:

- a) More trustworthy
- b) More suspicious / higher fakeout risk (common heuristic)
- c) Irrelevant always
- d) Proof of accumulation

F3. What is a volume climax (in plain language)?

F4. True or false: Volume confirms every pattern; without high volume, no setup is valid.

F5. VWAP is most commonly associated with:

- a) A magic reversal level for swing traders only
 - b) Volume-weighted average price — often used as an intraday benchmark
 - c) A candlestick pattern
 - d) A type of stop order
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Part G — Timeframes & multi-timeframe analysis

G1. Why can the same chart look “bullish” on 15m and “bearish” on daily?

Write a short explanation.

G2. A common multi-timeframe approach is:

- a) Trade against the higher timeframe always
- b) Bias from higher timeframe; refine entry on lower timeframe
- c) Use only 1-second charts
- d) Ignore all trends

G3. True or false: Lower timeframes produce more signals and more noise.

G4. If you take every 1-minute signal without a higher-timeframe filter, what typically happens to win rate and emotional load?

Part H — Orders, execution & costs

H1. Market order:

- a) Waits for your price
- b) Fills immediately at available prices (may slip)
- c) Never fills
- d) Only works overnight

H2. Limit order:

- a) Guarantees a fill
- b) Sets a maximum buy / minimum sell price; may not fill
- c) Always better than market

- d) Removes risk

H3. Stop-loss order (conceptually):

- a) Locks in profit only
- b) Triggers an exit when price reaches a predefined adverse level
- c) Increases position size
- d) Is illegal in spot markets

H4. Slippage is:

- a) A chart pattern
- b) Difference between expected and actual fill price
- c) Always zero on liquid pairs
- d) An indicator setting

H5. Fees and spread matter because:

- a) They don't
- b) They reduce edge; high-frequency or tight scalps can be fee-destroyed
- c) Only futures traders pay them
- d) They only apply to stocks

H6. True or false: A stop placed at an obvious round number is never hunted; brokers invent wicks for fun as a rule of nature.

Part I — Risk, position sizing & trade management

I1. Risk per trade as a % of account — a common beginner guideline is roughly:

- a) 25–50% per trade
- b) About 0.5–2% of account risked to the stop (guidelines vary; not a law)
- c) 100% if confident
- d) Risk doesn't matter if the setup is good

I2. Position size should primarily be determined by:

- a) How good the setup “feels”
- b) Distance to stop-loss and how much cash you're willing to lose if stopped
- c) What YouTube said
- d) Maximum leverage available

I3. Risk/reward of 1:3 means:

- a) Risk \$3 to make \$1
- b) Risk \$1 to target \$3 (before fees)
- c) Win rate must be 90%
- d) Guaranteed profit

I4. Why can a strategy with <50% win rate still be profitable?

I5. What is revenge trading?

I6. True or false: Moving your stop further away after entry because “it needs room” is usually discipline — not emotional risk expansion.

I7. Define **R** (as in “I lost 1R” / “made 2R”).

I8. Max drawdown — why should a new trader care before chasing high returns?

Part J — Trading psychology & process

J1. FOMO in trading typically looks like:

- a) Waiting patiently for criteria
- b) Chasing a move after it already ran, outside your plan
- c) Journaling calmly
- d) Reducing size

J2. Overtrading often comes from:

- a) Too few setups and boredom / need for action
- b) Perfect patience
- c) Having a written plan and following it
- d) Low screen time

J3. A trading journal should capture at least:

- a) Only the P&L number
- b) Setup type, plan, emotions, result, and what you’ll change
- c) Screenshots of celebrities
- d) Nothing — memory is enough

J4. True or false: After a big win, many traders unconsciously increase risk and loosen rules.

J5. What is the difference between a **process goal** and an **outcome goal** in trading? Give one example of each.

J6. Confirmation bias on charts looks like:

- a) Seeking evidence that supports your existing bias and ignoring contrary structure
 - b) Always being right
 - c) Using one timeframe only
 - d) Never looking at RSI
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Part K — Scenario questions (apply concepts)

K1. Price has made higher highs and higher lows on the 4H. On the 5m, you see a sharp red candle into prior 4H support that is still holding. Which bias is more coherent for a swing-style trader, and why?

K2. A stock/crypto rips 12% in 20 minutes on news. RSI is 85 on the 5m. A stranger in chat says “short the overbought.” What are two reasons this short may be a poor idea right now?

K3. You planned risk 1% with a stop below a clear swing low. After entry, price wicks through your level by 0.2% and reverses in your favor. Next day you widen all stops “so this doesn’t happen.” What problem did you introduce?

K4. You identify a double top. Neckline breaks, but volume is thin and price immediately reclaims above the neckline. What are two rational next thoughts (not “I knew it” / not revenge)?

K5. Your backtest shows 55% wins and average win = average loss. Live, you cut winners early and let losers run. What happens to expectancy, qualitatively?

Part L — Myths & critical thinking

Mark **True** if the statement is generally sound; **False** if it is a myth or misleading.

L1. “Indicators predict the future.”

L2. “Retail always loses because market makers target your exact stop every time by reading your mind.”

L3. “A pattern that worked last week will work the same way tomorrow.”

L4. “Risk management matters more than finding a ‘perfect’ entry.”

L5. “More screen time always equals more skill.”

L6. “If a famous trader uses a setup, it fits your account size, fees, and psychology automatically.”

L7. “Closed candles are more trustworthy for decisions than forming candles (for most discretionary rules).”

L8. “Correlation between two assets means one causes the other.”

Self-score sheet

Mark each item: **Correct** / **Wrong** / **Unsure**.

Section	Topic	Items	Correct	Wrong	Unsure
A	Market basics	A1–A7			
B	Candles & PA	B1–B8			
C	Trend & levels	C1–C8			
D	Patterns	D1–D8			
E	Indicators	E1–E9			
F	Volume	F1–F5			
G	Timeframes	G1–G4			
H	Orders & costs	H1–H6			
I	Risk	I1–I8			
J	Psychology	J1–J6			
K	Scenarios	K1–K5			
L	Myths	L1–L8			

Priority study list (write the 3 weakest sections):

1. _____
2. _____
3. _____

Answer key

Use after your first closed-book attempt. Partial credit on written answers if the idea is right.

Part A

Q	Answer
A1	b
A2	b
A3	b
A4	b
A5	b
A6	True
A7	False — markets are the interaction of many participants; anthropomorphizing creates bad stories

Part B

Q	Answer
B1	b
B2	b
B3	b
B4	b
B5	a
B6	Same candle name can mean continuation, reversal, or noise depending on trend, level, session, and timeframe. Naming without context is labeling, not analysis.
B7	False — higher timeframe candles usually matter more for swing bias
B8	a

Part C

Q	Answer
C1	b
C2	b
C3	b
C4	b
C5	Breakout: price leaves a range/level with intent to continue. Fakeout: break that quickly fails and reverses back into the prior range.
C6	b
C7	True (common structural concept; not guaranteed)

Q	Answer
C8	b

Part D — model answers

D1. Double top: two peaks near same high; bearish reversal bias after neckline break; invalidation if price reclaims and makes a clean new high / failed breakdown.

D2. Double bottom: two lows near same level; bullish reversal bias after neckline break; invalidation on clean new low / failed breakout back below lows.

D3. H&S: left shoulder–head–right shoulder; bearish after neckline break; invalidation if right side fails and price reclaims strongly above neckline/head area.

D4. Ascending triangle: rising lows + flat highs; often bullish continuation bias; invalidation on breakdown below rising support.

D5. Descending triangle: lower highs + flat lows; often bearish continuation bias; invalidation on breakout above descending resistance.

D6. Flags: sharp impulse (pole) then tight counter-trend channel; continuation bias with pole; invalidation if flag breaks opposite to expected continuation and momentum fails.

D7. False

D8. Examples: subjective drawing; regime change; low liquidity; news; overcrowded levels; measuring move assumptions; ignoring higher timeframe; forcing patterns onto noise.

Part E

Q	Answer
E1	b
E2	b
E3	b
E4	b
E5	b
E6	a
E7	b
E8	Lagging confirmation addiction; conflicting signals; curve-fitting; paralysis; illusion of certainty
E9	True

Part F

Q	Answer
F1	b
F2	b
F3	Unusually large volume spike often near emotional extremes / exhaustion or climax events (context needed)
F4	False — volume helps; it is not a universal validator
F5	b

Part G

Q	Answer
G1	Trends nest: a pullback on daily can be a full downtrend on 15m. Both can be “true” on their scale.
G2	b
G3	True
G4	More whipsaws, lower edge after costs, higher stress / overtrading risk

Part H

Q	Answer
H1	b
H2	b
H3	b
H4	b
H5	b
H6	False — stops cluster at obvious levels so liquidity is there; that is not mystical mind-reading

Part I

Q	Answer
I1	b
I2	b
I3	b
I4	Average winners larger than average losers (positive expectancy) can overcome a lower win rate
I5	Trading to recover losses emotionally, outside the plan, usually with larger size or worse setups
I6	False — that is usually expanding risk after the fact

Q	Answer
I7	R = the amount you predefined as 1 unit of risk (typically distance from entry to stop in money terms)
I8	Large drawdowns damage psychology and capital; recovery % needed grows nonlinearly

Part J

Q	Answer
J1	b
J2	a
J3	b
J4	True
J5	Process: follow checklist / risk 1%. Outcome: make \$X this week. Process is controllable.
J6	a

Part K — model answers

K1. Favor the higher-timeframe bullish structure; treat 5m weakness as possible pullback/entry context if the 4H level holds — not as automatic short bias.

K2. Strong trend + news can stay “overbought”; shorting into momentum without structure/level/risk plan is often picking up pennies in front of a move; timing and squeeze risk.

K3. You systematically increased risk and invalidated your sizing math; stops become arbitrary; expectancy assumptions break.

K4. Treat as failed breakdown / possible bullish reclaim; wait for new structure; stand aside; do not average into the failed short without a fresh plan.

K5. Expectancy collapses — you invert the distribution that made the backtest work.

Part L

Q	Answer
L1	False
L2	False (stops cluster; liquidity exists — not telepathy)
L3	False
L4	True
L5	False
L6	False
L7	True (for most rule-based discretionary trading)

Q	Answer
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L8	False
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How to turn results into a study plan

1. Pick your **three weakest sections**.
2. For each, do one week of deliberate practice: definitions → marked charts → journaled examples.
3. Retake **only those sections** in 2–3 weeks.
4. Do not increase trade size until risk (Part I) and process (Part J) are comfortable — even if patterns (Part D) feel fun.

Good luck. Honesty on the “unsure” marks is the real edge of this quiz.